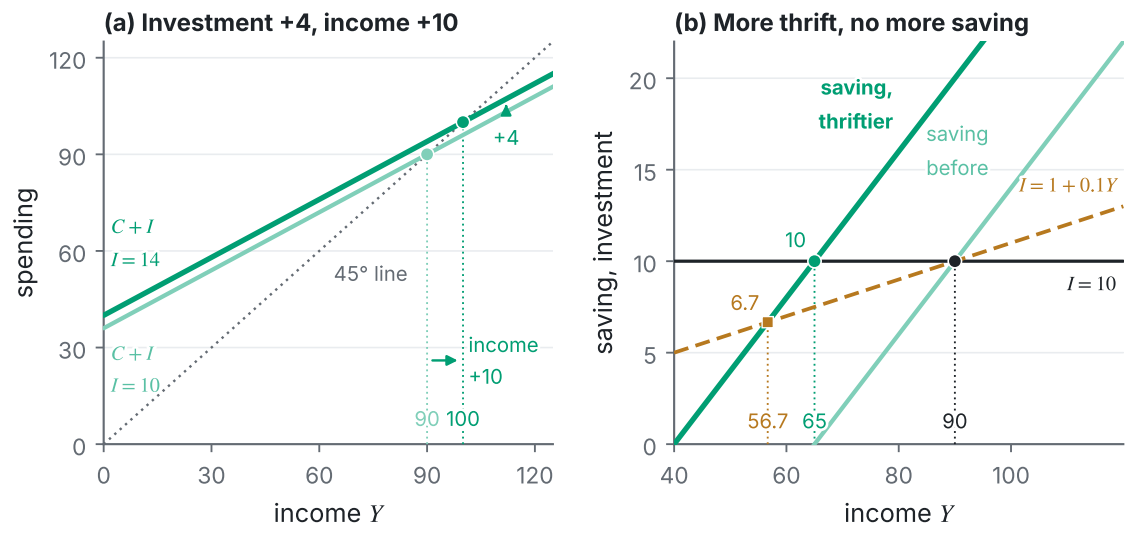
(a) Investment +4, income +10
spending
income Y
C + I
I = 14
C + I
I = 10
45° line
+4
income
+10
90
100
0
30
60
90
120
(b) More thrift, no more saving
saving, investment
income Y
saving,
thriftier
saving
before
I = 1 + 0.1Y
I = 10
10
6.7
56.7
65
90
40
60
80
100
0
5
10
15
20